

Mindteck Inc. and its Subsidiary

Consolidated Financial statements

March 31, 2022 and 2021

(With Independent Auditors' Report)

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED FINANCIALS
MARCH 31, 2022 & 2021

INDEX TO CONSOLIDATED FINANCIAL STATEMENTS

	Pages
Report of Independent Auditor	2-3
Consolidated Balance Sheets as of March 31, 2022 and 2021	4
Consolidated Statements of Income and Comprehensive Income/(Loss) for the years ended March 31, 2022 & 2021	5
Consolidated Statements of Equity for the years ended March 31, 2022 & 2021	6
Consolidated Statements of Cash Flows for the years ended March 31, 2022 & 2021	7
Notes to Financial Statements	8-23


MEENAZ DHANANI
DIRECTOR



INDEPENDENT AUDITOR'S REPORT

The Board of Directors,
Mindteck (India) Limited

Report on the Audit of Consolidated Financial Statements**Opinion**

We have audited the accompanying consolidated financial statements of Mindteck, Inc. and its subsidiary (the Group), which comprise the consolidated balance sheet as of March 31, 2022 and the related consolidated statements of income and comprehensive income/(loss), changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements including a summary of significant accounting policies.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements are prepared, in all material respects, in accordance with the basis of accounting described in Note 2 to those Consolidated Financial Statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter**Basis of Accounting and Restriction on Distribution**

We draw attention to Note 2 to the consolidated financial statements which describes the basis of accounting. These consolidated financial statements are prepared solely for internal use of the management. As a result, these consolidated financial statements may not be suitable for another purpose. This report should not be used by, referred to or distributed for any other purpose. We do not accept or assume responsibility to anyone other than to whom this report is addressed, for our audit work, for this report, or for the opinion we have formed. Our opinion is not modified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with U.S. generally accepted accounting principles, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.



Auditor's Responsibility for the audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

For S.R. Batliboi & Associates LLP

Chartered Accountants

ICAI Firm Registration Number: 101049W/E300004

UDIN:22213803AOVFGG7973


per Rajeev Kumar
Partner
Membership Number: 213803



Place: Bengaluru, India

Date: August 11, 2022

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED BALANCESHEETS
(In United States Dollars)

<u>Assets</u>	<u>As of</u> <u>March 31, 2022</u>	<u>As of</u> <u>March 31, 2021</u>
<i>Current assets:</i>		
Cash and cash equivalents	\$ 4,035,408	\$ 4,309,497
Accounts receivable from affiliates (Notes 3 & 10)	239,302	397,432
Accounts receivable, net of allowances (Note 3)	3,459,256	3,354,120
Unbilled revenue	1,597,687	1,614,948
Loan to affiliates (Note 10)	748,343	260,358
Income tax assets	42,040	27,305
Other current assets (Note 4)	176,186	187,549
Total current assets (A)	\$ 10,298,222	\$ 10,151,209
<i>Non-current assets:</i>		
Plant and equipment, net (Note 5)	6,919	2,269
Deposits	-	537
Total non-current assets (B)	\$ 6,919	\$ 2,806
Total assets (C)=(A)+(B)	\$ 10,305,141	\$ 10,154,015

Liabilities and Stockholders' equity

<i>Current liabilities:</i>		
Accounts payable	\$ 445,568	\$ 380,244
Accounts payable to affiliates (Note 10)	1,227,246	308,312
Income tax liabilities	19,794	6,378
Borrowings (Note 6(b))	-	2,469,200
Other current liabilities (Note 7)	1,303,779	1,227,314
Unearned revenue	114,348	177,550
Compensated absences	207,235	291,587
Total current liabilities (D)	\$ 3,317,970	\$ 4,860,585
<i>Non-current liabilities:</i>		
Other long term liabilities	-	187,023
Total non-current liabilities (E)	\$ -	\$ 187,023
Total liabilities (F)=(D)+(E)	\$ 3,317,970	\$ 5,047,608

Commitments & Contingencies (Note 13)

Stockholders' equity

Common stock, \$1 par value; Authorized 250,000 shares; issued and outstanding 19,000 shares	\$ 19,000	\$ 19,000
Additional paid-in capital	8,194,493	8,194,493
Retained earnings/(Accumulated deficit)	(1,230,260)	(3,111,936)
Accumulated other comprehensive income/(loss)	3,938	4,850
Total stockholders' equity attributable to Mindteck, Inc. (G)	\$ 6,987,171	\$ 5,106,407
Total liabilities and stockholders' equity (H) = (F) + (G)	\$ 10,305,141	\$ 10,154,015

See accompanying notes to consolidated financial statements.

Meeza Dhanani
MEENZA DHANANI
DIRECTOR



MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF INCOME AND COMPREHENSIVE INCOME/(LOSS)
(In United States Dollars)

	Year ended March 31, 2022	Year ended March 31, 2021
Revenues	\$ 21,130,059	\$ 22,732,539
Operating expenses:		
Cost of revenues (excluding depreciation and amortization)	(17,804,101)	(19,190,995)
Selling, general and administrative expenses (excluding depreciation and amortization)	(3,881,387)	(3,530,130)
Depreciation and amortization (Note 5)	(1,631)	(8,565)
Total operating expenses	\$ (21,687,119)	\$ (22,729,690)
Operating income/(loss)	(557,060)	2,849
Other income (Note 6(b))	2,471,842	49,162
Interest (expense)/income, net	4,611	(536)
Income/(loss) before income taxes	1,919,393	51,475
Income tax benefit/(expense) (Note 8)	(37,717)	(53,029)
Net income/(loss)	\$ 1,881,676	\$ (1,554)
Other comprehensive income/(loss):		
Foreign currency translation adjustment	(912)	23,461
Total comprehensive income/(loss) attributable to the Company	\$ 1,880,764	\$ 21,907

See accompanying notes to consolidated financial statements.

M. Dhanani
MEENAZ DHANANI
DIRECTOR



MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF EQUITY
(In United States Dollars, except share data)

	Common Stock		Additional	Retained earnings/	Accumulated	Total
	Number of	Amount	Paid-in	(Accumulated deficit)	Other	Stock holders'
	shares		Capital		Comprehensive	Equity
					Income/(loss)	
As at April 01, 2020	19,000	\$ 19,000	\$ 8,194,493	\$ (3,110,382)	\$ (18,611)	\$ 5,084,500
Stock compensation expense [Note 11]	-	-	-	-	-	-
Net income/(loss)	-	-	-	(1,554)	-	(1,554)
Other comprehensive income/(loss)	-	-	-	-	23,461	23,461
As at March 31, 2021	19,000	19,000	8,194,493	(3,111,936)	4,850	5,106,407
Stock compensation expense [Note 11]	-	-	-	-	-	-
Net income/(loss)	-	-	-	1,881,676	-	1,881,676
Other comprehensive income/(loss)	-	-	-	-	(912)	(912)
As at March 31, 2022	19,000	\$ 19,000	\$ 8,194,493	\$ (1,230,260)	\$ 3,938	\$ 6,987,171

See accompanying notes to consolidated financial statements.



Meera Dhanraj
Meera Dhanraj
Director

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

	<u>Year ended March 31, 2022</u>	<u>Year ended March 31, 2021</u>
Cash flows from operating activities:		
Net income/(loss)	\$ 1,881,676	\$ (1,554)
<i>Adjustments to reconcile net income to net cash provided by operating activities:</i>		
Depreciation and amortization	1,631	8,565
PPP Loan forgiven	(2,469,200)	-
Allowance for doubtful accounts	-	(640)
<i>Changes in operating assets and liabilities</i>		
Accounts receivable and unbilled revenue	69,095	1,147,106
Other assets and deposits	11,927	110,229
Income taxes	(1,390)	55,632
Accounts payable	983,199	(464,527)
Other liabilities	(258,358)	144,039
Net cash provided by operating activities	\$ 218,580	\$ 998,851
Cash flows from investing activities:		
Expenditure on plant and equipment	(6,281)	(1,165)
Net cash used in investing activities	\$ (6,281)	\$ (1,165)
Cash flows from financing activities:		
Proceeds from recovery of loan	-	25,602
Proceeds from borrowings	-	2,469,200
Disbursement of Loan	(487,985)	-
Net cash provided from/(used in) financing activities	\$ (487,985)	\$ 2,494,802
Effect of exchange rate changes on cash and cash equivalents	1,597	18,099
Net changes in cash and cash equivalents	\$ (274,089)	\$ 3,510,587
Cash and cash equivalents at beginning of year	4,309,497	798,910
Cash and cash equivalents at end of year	\$ 4,035,408	\$ 4,309,497
Supplementary information:		
Cash paid for interest	\$ -	\$ 1,028
Cash received for interest	\$ 4,718	\$ 492
Income taxes paid	\$ -	\$ 34,213

See accompanying notes to consolidated financial statements.



M. Dhanani
MEENAZ DHANANI
DIRECTOR

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

1. Organization and description of the business

Mindteck Inc. ("the Company"), is a software development and consulting company headquartered in Camp Hill, Pennsylvania. The Company was incorporated in November 14, 1995 and is a subsidiary of Mindteck (India) Limited ("MIL"). On January 10, 2018, Mindteck Canada, Inc. ("Mindteck Canada") was incorporated under the laws of Canada as a wholly owned subsidiary of the Company.

2. Summary of Significant Accounting Policies

(a) Basis of preparation of financial statements and principles of consolidation

The accompanying consolidated financial statements have been prepared, in accordance with recognition and measurement principles generally accepted in the United States, by management for its internal use only.

The accompanying financial statements have been prepared on a consolidated basis and reflect the financial statements of the Company and its subsidiary that are more than 50% owned or controlled. The consolidated financial statements of the Company, includes the accounts of its wholly owned subsidiary, Mindteck Canada. All intercompany transactions and balances are eliminated in consolidation.

The functional currency and reporting currency of the Company is the United States Dollar ("USD/\$").

(b) Use of estimates:

The preparation of these financial statements requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates and assumptions are used for, but not limited to, accounting for costs and efforts expected to be incurred to complete performance under software development arrangements, allowance for uncollectible accounts receivable, the useful lives of plant and equipment and intangible assets, income tax valuation allowances and reserve for uncertain tax positions. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from those estimates. Management believes that the estimates used in the preparation of the consolidated financial statements are prudent and reasonable. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

(c) Revenue recognition:

Rendering of services:

The Company derives its revenues primarily from software development and IT-enabled service including technical consultancy services. Revenues are recognized when there is persuasive evidence of a contractual arrangement with customers, services have been rendered, the fee is fixed or determinable and collectability is reasonably assured. The Company has concluded that it has persuasive evidence of a contractual agreement when it enters into an agreement with its customers with terms and conditions which describe the services and the related payments are legally enforceable. Revenues are recognized net of value added tax and applicable discounts and includes reimbursements of out-of-pocket expenses, with corresponding cost for out-of-pocket expenses included in cost of revenues.

The services are performed under both time-and-material and fixed-price arrangements. Revenues with respect to time-and-material are recognized as the related services are performed. Time-and-material contracts typically bill at an agreed upon hourly or daily rate. Revenue related to fixed fee arrangements are recognized using the percentage completion method based on actual direct costs in relation to total estimated costs. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the



Meghaz Dhanani
MEGHAZ DHANANI
DIRECTOR

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

period in which such losses become probable based on the current contract estimates.

The Company grants volume discounts to certain customers, which are computed based on a pre-determined percentage of total revenues from those customers during a specified period, as per the terms of the contract. These discounts are earned only after the customer has provided a certain specified cumulative level of revenues in the specified period. The Company reports revenues net of discount offered to customers.

The Company recognizes cash discounts as a reduction of revenues.

Multiple contracts with a single counterparty are evaluated to determine whether such contracts should be accounted for as separate contracts or aggregated and accounted for as a single contract. The Company evaluates whether the services are interdependent or interrelated with respect to the services being performed. If contracts are considered separate, the related costs are identified, tracked and reported separately and the contracts are serviced by different project management teams and potentially performed at different locations.

Interest income:

Interest income is recognized using the time proportion method, based on the transactional interest rates.

Unbilled revenue:

Unbilled revenue represents revenue recognized in excess of amounts billed. These amounts are to be billed in subsequent periods as per the terms specified in the agreement.

Deferred revenue/ unearned revenue:

Deferred revenue represents billing in excess of revenue recognized and advance payments received from customers for which no services have been rendered. Billing done during the reporting period in excess of revenue recognized or billing done in advance is recorded as deferred revenue until the revenue recognition criteria is met.

Allowance for doubtful accounts:

Accounts receivables are reviewed periodically to determine the probability of loss. Accounts receivables are recorded at the invoiced amount and do not bear interest. The allowance for uncollectible accounts is determined using the combination of the specific identification method for balances deemed uncollectible, as well as judgments made by the Company based upon historical and expected collection experience.

(d) Cash and cash equivalents:

The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. Cash and cash equivalents comprise cash and cash on demand deposit with banks.

(e) Fair value of financial instruments and concentration of credit risk:

The amounts reflected for cash and cash equivalents, accounts and unbilled receivables and accounts payable approximate their fair value due to their short maturities. Financial instruments that potentially subject the Company to concentration of credit risk consist primarily of cash and cash equivalents and accounts and unbilled receivables. The Company mitigates its risk with respect to cash and cash equivalents by maintaining its deposits with financial institutions.



Meghar Dharmani
MEGHAR DHARMANI
DIRECTOR

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

The Company has a concentration of its revenue and receivables with specific customers. The accounts receivable, net of allowances, amounted to USD 3,698,558 and USD 3,751,552 as of March 31, 2022 and 2021 respectively. Revenues amounting to more than 10% of the total revenue of the Company accounted from two customers amounting to USD 8,039,444 in 2022 and from two customers amounting to USD 7,762,400 in 2021. The amounts due from these customers accounted for USD 1,623,095 of accounts receivable as of March 31, 2022 and USD 1,501,099 as of March 31, 2021, respectively.

Accounts receivable are recorded at the invoiced amount and do not bear interest. The carrying amount of the accounts receivable is reduced by an allowance for doubtful accounts that reflects management's best estimate of the amounts that will not be collected. Accounts receivable balances are charged off against the allowance after all means of collection have been exhausted and the potential for recovery is considered remote.

(f) Plant and equipment, net:

Plant and equipment are stated at cost less accumulated depreciation. The costs of additions are capitalized, while repairs and maintenance are charged to expense as incurred. Upon disposal, assets and related accumulated depreciation are removed from the Company's accounts and the resulting gains and losses are reflected in current earnings in the consolidated statements of income. The Company depreciates plant and equipment over the estimated useful life using the straight-line method. The estimated useful lives of assets are as follows:

Asset classification	Useful life
Computer and office equipment	3 years
Software	3 years
Furniture and fixtures	5 years
Leasehold improvements	7 years

Assets under leasehold improvements are amortized over their estimated useful life or the lease term, whichever is lower.

Property and equipment are reviewed for impairment if indicators of impairment arise. There were no impairment charges related to property and equipment recognized during the years ended March 31, 2022 and 2021.

(g) Goodwill:

The Company accounts for its business combinations under the acquisition method of accounting. Goodwill represents the cost of the acquired businesses in excess of the fair value assigned to identifiable net assets acquired.

The Company does not amortize goodwill but instead tests goodwill for impairment at least annually, using a two-step impairment process. The fair value of the reporting unit is first compared to its carrying value (including goodwill). The fair value of the reporting units is determined using a combination of valuation techniques including discounted cash flow analysis and market value approaches based on multiples. If the fair value of the reporting unit exceeds the carrying value of the net assets assigned to that unit, goodwill is not impaired. If the carrying value of the net assets assigned to the reporting unit exceeds the fair value of the reporting unit, then the implied fair value of the reporting unit's goodwill is compared with the carrying value of the reporting unit's goodwill. The implied fair value of goodwill is determined in the same manner as the amount of goodwill recognized in a business combination. If the carrying value of a reporting unit's goodwill exceeds its implied fair value, then an impairment loss equal to the difference is recorded.



Meghaz Dhanani
MEGHAZ DHANANI
DIRECTOR

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

h) Employee benefits:

Defined contribution plan

Eligible employees of the Company in the United States may elect to participate in an employee retirement savings plan maintained pursuant to Section 401(k) of the United States Internal Revenue Code of 1986, as amended, (the "401(k) Plan"). The 401(k) Plan allows for employees to defer a portion of their annual earnings on a pre-tax basis through voluntary contributions to the 401(k) Plan. The Company may make discretionary matching contributions under the 401(k) Plan, but the Company is not currently making any such matching contributions.

(i) Income taxes:

Income taxes are accounted for under the asset and liability method. The current charge for income taxes is calculated in accordance with the relevant tax regulations applicable to the Company. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The measurement of deferred tax assets is reduced, if necessary, by a valuation allowance for any tax benefits of which future realization is not more likely than not. Changes in valuation allowance from period to period are reflected in the statement of income in the period of change. Tax benefits of deduction earned on exercise of stock options in excess of compensation charged to earnings are credited to additional paid in capital.

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs.

The Company recognizes interest and penalties related to unrecognized tax benefits in income tax expense.

ASC 740 clarifies the accounting for uncertainty in income taxes recognized in an enterprise's financial statements and prescribes a recognition threshold and measurement attribute for the financial statements recognition and measurement of a tax position taken or expected to be taken in a tax return. The Company is required to recognize in the financial statements the impact of a tax position, if that position is more likely than not of being sustained on audit, based on the technical merits of the position. For the year ended March 31, 2021, the Board of Directors identified no material uncertain income tax positions relevant to the jurisdictions where the Company is required to file income tax returns.

Pursuant to adoption of ASU 2015-17 "Balance sheet Classification of Deferred Taxes", the Company has classified all deferred tax assets and liabilities as non-current on the balance sheet prospectively.

(j) Compensated absences:

The Company's liability towards compensated absences is accounted for on the basis of unavailed encashable leave balances at applicable encashable rates. The Company presents the entire compensated absences balance as a current liability in the balance sheet since it does not have an unconditional right to defer its settlement for twelve months after the reporting date.

(k) Foreign currency translation:

Foreign currency denominated assets and liabilities are translated into the functional currency at exchange rates in effect at the balance sheet date. The gains or losses resulting from such translations are included in earnings. Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net income for the period in which the transaction is settled.



Meghal Dhanani
MEGHAL DHANANI
DIRECTOR

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

Revenue, expense and cash-flow items denominated in foreign currencies are translated into the functional currency using the exchange rate in effect on the date of the transaction.

The functional currency of Mindteck Inc. is U.S. dollars. The functional currency of Mindteck Canada Inc. is determined as Canadian dollars (CAD) based on the evaluation of the individual and collective economic factors as discussed in ASC Topic 830-10. The assets and liabilities of Mindteck Canada Inc. are translated into U.S. dollars (\$) exchange rates in effect at the balance sheet date, and revenues and expenses are translated at average rates of exchange in effect during the period. The resulting cumulative translation adjustment is recorded in accumulated other comprehensive income/(loss) in stockholders' equity.

(l) Employee stock options:

Certain employees of the Company have been granted stock options under MIL's Mindteck Employee Stock Option Scheme, 2005, Employee Stock Option Scheme 2008, and Employee Stock Option Scheme 2020 which gives such employees the right to purchase equity shares of MIL on exercise.

The Company accounts for its employee stock-based compensation awards measuring and recognizing compensation expense for all stocks-based payments awards based on the grant date fair value of those awards. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

(m) Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigations, fine and penalties and other sources are recorded when it is probable that a liability has been incurred and the amount of the assessment and/or remediation can be reasonably estimated. Legal costs incurred in connection with the same are expensed as incurred.

(n) Leases

(i) Operating leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased asset are classified as operating leases. Payments for assets acquired under an operating lease are recognized in the consolidated statement of income over the term of the lease on a straight-line basis.

(o) Cost of revenues and selling, general and administrative expenses

Cost of revenue primarily includes the compensation cost of technical staff, travel costs, sub-contractor costs, data and portal expenses, and other expenses that are related to the generation of revenue.

Selling, general and administrative expenses generally include the compensation cost of sales, management and advisory personnel, travel costs, training cost, advertising, business promotion, rent, repairs, electricity, communication expenses and other general expenses not attributable to cost of revenue.

Advertising costs are expensed as incurred and are included in selling, general and administrative expenses.

(p) Subsequent events

The Company evaluates events and transactions that occur subsequent to the balance sheet date but prior to the issuance date of the consolidated financial statements to determine the necessity for recognition and/or reporting of any of these events and transactions in the consolidated financial statements.



Meenaz Dhawan
MEENAZ DHAWAN
DIRECTOR

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(q) Recently issued accounting pronouncements

In June 2016, FASB issued ASU 2016-13, *Financial Instruments—Credit Losses*. The amendments in this update require a financial asset (or a group of financial assets) measured at amortized cost basis to be presented at the net amount expected to be collected. The allowance for credit losses is a valuation account that is deducted from the amortized cost basis of the financial assets to present the net carrying value at the amount expected to be collected on the financial asset. The income statement reflects the measurement of credit losses for newly recognized financial assets, as well as the expected increases or decreases of expected credit losses that have taken place during the period. The measurement of expected credit losses is based on relevant information about past events, including historical experience, current conditions, and reasonable and supportable forecasts that affect the collectability of the reported amount. An entity must use judgment in determining the relevant information and estimation methods that are appropriate in its circumstances.

The update was effective for fiscal years beginning after December 15, 2020, which was deferred to fiscal years beginning after December 15, 2022 by ASU No. 2019-10 issued in November 2019. The

In August 2018, FASB issued ASU 2018-14, *Compensation—Retirement Benefits—Defined Benefit Plans—General (Subtopic 715-20) Disclosure Framework—Changes to the Disclosure Requirements for Defined Benefit Plans*. This ASU changes the disclosure requirements for defined benefit plans. The update is effective for fiscal years ending after December 15, 2021 and the early adoption is permitted. The Company does not expect this amendment to have a material effect on its consolidated financial statements, when adopted.

In December 2019, the FASB issued ASU 2019-12, *Simplifying the Accounting for Income Taxes*. This ASU simplifies various aspects of income tax accounting by removing certain exceptions to the general principle of the guidance and clarifies and amends existing guidance to improve consistency in application. The update is effective for fiscal years, and interim periods within those fiscal years, beginning after December 15, 2022. Early adoption is permitted for periods for which financial statements have not yet been made available for issuance. The Company is currently evaluating the impact of this amendment on its consolidated financial statements and disclosures.

In March 2020, the FASB issued ASU 2020-04, *Reference Rate Reform*. This ASU provides temporary optional expedients and exceptions to the guidance for contracts, hedging relationships, and other transactions that reference London Interbank Offer Rate (LIBOR) or another reference rate expected to be discontinued because of reference rate reform. The expedients and exceptions provided by the amendments do not apply to contract modifications made and hedging relationships entered into or evaluated after December 31, 2022, except for hedging relationships existing as of December 31, 2022. An entity may elect to apply the amendments from a period that includes or is subsequent to March 12, 2020 through December 31, 2022. Company is currently evaluating the impact of this ASU on its consolidated financial statements and disclosures.



Meghan
MEGHAN DHANANI
DIRECTOR

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

3. Accounts receivable:

Accounts receivable consists of:

	As of March 31,	
	2022	2021
Accounts receivable from affiliates (Refer Note 10)	239,302	397,432
Accounts receivable, net of allowances		
Accounts receivable, gross	3,459,256	3,398,208
Less: Allowance for doubtful accounts	-	(44,088)
Accounts receivable, net of allowances	3,459,256	3,354,120

The Company maintains an allowance for doubtful accounts based on financial condition of the customer and ageing of the accounts receivable. The activity in the allowance for doubtful debts for account receivable is as follows:

	For the year ended March 31,	
	2022	2021
Allowance at the beginning of the year	44,088	44,728
Provision reversed	(44,088)	(640)
Allowance at the end of the yearh	-	44,088

M. Azhar
M. AZHAR AHARANI
DIRECTOR



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

4. Other current assets:

Other current assets consist of the following:

	As of March 31,	
	2022	2021
Prepaid expenses	173,997	160,951
Advances to suppliers and others	(290)	5,503
Deposits	2,479	21,095
Other current assets	176,186	187,549

5. Plant and equipment, net:

Plant and equipment, net consist of the following:

	As of March 31,	
	2022	2021
Computer equipment	92,442	87,506
Furniture and fixtures & office equipment	201,428	201,428
Plant and equipment, gross	293,870	288,934
Less: Accumulated depreciation	(286,951)	(286,665)
Plant and equipment, net	6,919	2,269

Depreciation expense on plant and equipment amounted to USD 1,631 and USD 8,565 for the years ended March 31, 2022 and 2021 respectively.

6. Borrowings from bank and Other income:

a) Line of credit

On August 24, 2017, the Company entered into a revolving line of credit with PNC Bank that permitted the Company to draw up to USD 2,000,000 through 2020, bearing interest at LIBOR plus 2%. The Company must also pay an unused fee of 0.10%. The line of credit expired on September 30, 2020, and was not renewed. At March 31, 2020, the Company had USD 2,000,000 available to be drawn down under this facility. Borrowings were collateralized by a first lien on accounts receivable and a pledge on all business assets of the Company.

The interest and unused fee on the above facilities amounted to USD Nil and USD 1,017 for the years ended March 31, 2022 and 2021 respectively have been charged to interest expense.

b) Paycheck protection program

On April 13, 2020 the Company received \$2,469,200 pursuant to Coronavirus Aid, Relief and Economic Security (CARES) Act's Paycheck Protection Program. The Company applied to the Bank for forgiveness of the amount based on certain costs incurred during the 8 week period beginning on the date of first reimbursement of the Program. Subsequently, on June 10, 2021, the entire amount was forgiven in principal and interest in favor of the Company. Accordingly, the amount of USD 2,469,200 recorded as 'Other income' in the year ended March 31, 2022.



M. Meenaz Phani
MEENAZ PHANI
DIRECTOR

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

Other Income:

Other Income consist of:

	As of March 31,	
	2022	2021
PPP Loan forgiven	2,469,543	-
Others	2,299	49,162
Other Income	2,471,842	49,162

7. Other current liabilities:

Other current liabilities consist of:

	As of March 31,	
	2022	2021
Salary and wages payable	378,115	378,793
Accrued expenses	680,635	633,097
Statutory liabilities	31,721	215,423
Other current liabilities	1,090,471	1,227,314

8. Income taxes:

The income tax expense during the years ended March 31, 2022 and 2021 consist of the following:

	For the year ended March 31,	
	2022	2021
Current tax expense/(benefit):		
Federal	37,717	34,402
State	-	18,627
	37,717	53,029
Deferred tax expense/(benefit):		
Federal	-	-
State	-	-
	-	-
Income tax expense/(benefit)	37,717	53,029

Income tax expense for the year ended March 31, 2022, relates to state and federal income taxes. Income tax expense attributable to income from continuing operations differed from the amounts computed by applying the US federal statutory income tax rate of 21% primarily due to changes in valuation allowance, permanent differences, and state income taxes.

Deferred income taxes reflect the net effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of net deferred tax assets and liabilities as of March 31, 2022 and 2021 are as follows:

Mehnaz Dhanani
MEHNAZ DHANANI
DIRECTOR



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

	As of March 31,	
	2022	2021
Deferred tax assets:		
Bad debt reserve	-	11,667
Carry forward business losses	1,256,687	1,025,890
Accrued expenses and liabilities	172,407	199,254
Plant and equipment	394	5,181
Total gross deferred tax asset	1,429,488	1,241,992
Less: Valuation allowance	(1,429,488)	(1,241,992)
Total deferred tax assets	-	-

Management establishes a valuation allowance on deferred tax assets when it is more likely than not that the benefit of such deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon management's assessment of the Company's ability to generate taxable income during the periods in which the temporary differences become deductible. Based on the historical level of taxable income and considering the uncertain economic environment and the COVID-19 pandemic, projections of future taxable income over the periods in which the deferred tax assets are deductible, management believes that it is more likely than not the Company will not realize the benefits of these deductible differences net of the existing valuation allowances at March 31, 2022. Management's assessment in the near term is subject to change if estimates of future taxable income are reduced.

The Company has recorded a valuation allowance of USD 1,429,488 and USD 1,241,992 as of March 31, 2022 and March 31, 2021 respectively representing an increase in valuation allowance of USD 187,496 on deferred tax assets including deferred tax assets in relation to the net operating loss carry forward.

As of March 31, 2022, the Company has federal net operating loss carry forwards of USD 5,121,033 and state net operating loss carry forwards of USD 3,343,604 available to offset future taxable income, which expire in various years beginning in 2032.

The Company files federal and various state tax returns. As a result of the net operating losses in prior years, the federal statute of limitations will remain open for a period following any utilization of the net operating loss carry forwards, and as such, these periods remain subject to examination for tax years after 2018. With few exceptions, the state filings are no longer subject to examination by the tax authorities for tax years before 2017. The Company is currently not under examination by the Internal Revenue Service or any other taxing authority.

Mehar Dharwani
MEHAR DHARWANI
DIRECTOR



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

9. Revenue from contracts with customers

Disaggregation of revenue

Revenue by type of contract

	For the year ended March 31,	
	2022	2021
Time-and-material	\$ 20,342,253	\$ 21,515,779
Fixed price	787,806	1,216,760
Total	\$ 21,130,059	\$ 22,732,539

Timing of revenue recognition

	For the year ended March 31,	
	2022	2021
Services transferred at a point in time	\$ -	\$ -
Services transferred over time	21,130,059	22,732,539
Total	\$ 21,130,059	\$ 22,732,539

The performance obligations under revenue contracts included maintenance and support services or; delivery of specific milestones/deliverables. These performance obligation for revenue recognized during the year were satisfied over time since the customers simultaneously received and consumed the benefits as the Company performed the services.

Contract balances

Accounts receivable, net

The customers are billed on a regularly scheduled basis, such as bi-weekly or monthly. The payment terms are generally 30 to 90 days.

Unbilled revenue

Unbilled revenue represents revenue recognized in excess of amounts billed. These amounts are to be billed in subsequent periods as per the terms specified in the agreement.

Unearned revenue

Unearned revenue consists of billings in advance of revenue recognition from services and is recognized as revenue when transfer of control to customers has occurred. Unearned revenue relates to contract with billing milestones which are different from performance under the contract and advance billing for maintenance and support contracts for which revenue is recognized ratably over time.

Meenaz Dhawan
MEENAZ DHAWAN
DIRECTOR



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

10. Related party transactions

The Company has also entered into the following significant transactions with related parties:

	For the year ended March 31,	
	2022	2021
Income from IT-enabled services:		
a) Mindteck (India) Limited – holding company	316,080	296,374

	For the year ended March 31,	
	2022	2021
Reimbursement of expenses from:		
a) Mindteck (India) Limited – holding company	32,427	34,760
b) Mindteck UK Limited - fellow subsidiary	3,871	12,236
c) Mindteck Singapore Pte Ltd– fellow subsidiary	-	46
d) Mindteck Germany GmbH– fellow subsidiary	-	-
e) Mindteck Malaysia – fellow subsidiary	-	-
f) Mindteck Middle East Limited SPC - fellow subsidiary	-	-

Subcontracting costs:		
a) Mindteck (India) Limited – holding company	63,91,085	6,410,130
b) Mindteck Singapore Pte Ltd– fellow subsidiary	33,813	55,892

Reimbursement of expenses to:

a) Mindteck (India) Limited – holding company	175,378	175,124
b) Mindteck Singapore Pte Ltd– fellow subsidiary	39,701	34,094

The balances receivable from and payable to related parties as at March 31, 2022 and 2021 are as follows:

	As of March 31,	
	2022	2021
Accounts receivable:		
Mindteck (India) Limited - holding company	127,974	274,131
Mindteck Germany GmbH - fellow subsidiary	111,065	111,065
Mindteck Malaysia – fellow subsidiary	-	-
Mindteck Middle East Limited SPC - fellow subsidiary	-	-
Mindteck Singapore Pte Ltd - fellow subsidiary	-	-
Mindteck UK Limited - fellow subsidiary	263	12,236
Total	239,302	397,432

	As of March 31,	
	2022	2021
Accounts payables:		
Mindteck (India) Limited – holding company	851,587	273,613
Mindteck Singapore Pte Ltd– fellow subsidiary	23,683	34,699
Total	875,270	308,312



Mehnaz Dhamani
MEHNAZ DHAMANI
DIRECTOR

MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

	As of March 31,	
	2022	2021
Loans to affiliates:		
Mindteck Germany GmbH – fellow subsidiary	748,343	100,000
Mindteck Middle East Limited SPC – fellow subsidiary	-	160,358
Total	748,343	260,358

Loan to Mindteck Germany GmbH carries interest of 1% with an option to pay anytime on or before August 30, 2031. The interest income relating to the loan to Mindteck Germany GmbH as at March 31, 2022 and March 31, 2021 amounts to USD 4,409.15 and USD Nil respectively.

11. Stock option plan

Mindteck Employees Stock Option Scheme 2005

Mindteck (India) Limited introduced the “Mindteck Employees Stock Option Scheme 2005” (“the Option Scheme 2005”) for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors of MIL. The options vest annually in a graded manner over a three-year period and are exercisable during a maximum period of five years from the date of vesting.

Mindteck (India) Limited has granted Nil options and Nil options during the year ended March 31, 2022 and 2021, respectively.

Stock option activity under the Option Scheme 2005 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2022	2021	2022	2021
Outstanding at the beginning of the year	5,600	11,800	0.50	0.45
Granted during the year	-	-	-	-
Forfeited and lapsed during the year	-	(6,200)	-	0.37
Exercised during the year	-	-	-	-
Outstanding at the end of the year	5,600	5,600	0.50	0.50
Exercisable at the end of the year	5,600	5,600	0.50	0.50

Mindteck Employees Stock Option Scheme 2008

Mindteck (India) Limited introduced the ‘Mindteck Employees Stock Option Scheme 2008’ (‘the Option Scheme 2008’) for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on May 27, 2008 and the shareholders meeting held on July 30, 2008. The Option Scheme 2008 provides for the creation and issue of 1,200,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors. The options will vest after the expiry



Meghaz Dhanani
MEGHAZ DHANANI
DIRECTOR



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

The following table summarizes key information relating to the Option Scheme 2005 , Option Scheme 2008 & Option Scheme 2020:

Particulars	Weighted average remaining contractual life		Range of exercise price	
	2022	2021	2022	2021
Option Scheme 2005	0.66	0.66	\$0.50-\$0.50	\$0.50-\$0.50
Option Scheme 2008	1.61	1.61	\$0.59-\$1.22	\$0.59-\$1.22
Option Scheme 2020*	-	-	\$0.13	-

*Cancelled during the year

During the year ended March 31, 2022 and 2021, the Company recognized approximately USD Nil and USD Nil as stock-based compensation expense respectively. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

The per share weighted average fair value of stock options granted during the year ended March 31, 2022 and 2021 were USD Nil and USD Nil, respectively. The fair value of each stock option grant is estimated on the date of grant using the Black-Scholes option pricing model. The Company has not granted any options other than above during the year ended March 31, 2022.

The unamortized stock compensation cost relating to unvested options as at March 31, 2022 and March 31, 2021 amounts to USD Nil and USD Nil respectively. The total ESOP costs was USD NIL and USD NIL during the years ended March 31, 2022 and 2021.

Meenaz Dhanani
MEENAZ DHANANI
DIRECTOR



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

12. Leases

Operating leases

The Company is obligated under non-cancelable operating lease for office and residential space and equipments that are renewable on a periodic basis at the option of both the lessor and the lessee.

Future minimum lease payments under non-cancelable leases are as follows:

Year ending March 31, 2023	14,400
Total	14,440

Total rental expenditure under the operating lease, cancelable and non-cancelable was USD 36,324 and USD 113,529 for the years ended March 31, 2022 and 2021 respectively.

On October 07, 2019, the Company became a sublandlord with respect to one office lease, Under this sublease agreement, USD 45,839 was recorded as rental income for the years ended March 31, 2021. Agreement ended on February 28, 2021.

13. Commitments and contingencies

Capital commitments

There were no capital commitments as of March 31, 2022 and 2021.

Contingencies and lawsuits

The Company is not involved in lawsuits, claims, investigations and proceedings, including patent and commercial matters, which arise in the ordinary course of business. The Company believes that there are no such pending matters that are expected to have any material adverse effect on its financial statements.

14. Stockholders' equity and dividend:

The Company presently has one class of stock – common stock. For all matters submitted to vote in the stockholders' meeting, every holder of common stock as reflected in the records of the Company on the date of the stockholders' meeting shall have one vote in respect of each share held. In the event dividend is declared, it is recognized upon approval by the Board of Directors.

15. Subsequent events

The Company performs an evaluation of events that occur after the balance sheet date but before the financial statements are issued or available to be issued, for potential recognition or disclosure of such events in its financial statements.

The Company evaluated all events or transactions that occurred between March 31, 2022 and August 11, 2022 the date the Company issued their financial statements and determined that no events or transactions which would require adjustments in the Company's financial statements except as disclosed above.



Mehnaz Khanani
MEHNAZ KHANANI
DIRECTOR